NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- II)

C.A.(CAA)-44/ND/2021

IN THE MATTER OF SCHEME OF AMALGAMATION :

BETWEEN

JUNIPER GREEN INDIA PRIVATE LIMITED
... Applicant No.1/Transferor Company

AND

JUNIPER GREEN ENERGY PRIVATE LIMITED
...Applicant No.2/ Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on : 11.06.2021

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For Applicants : Dr. U.K. Chaudhary, Senior Advocate along with
Ms. Manisha Chaudhary, Advocate

ORDER

PER SHRI L.N. GUPTA, MEMBER (T)

Under consideration is the Application No. C.A.(CAA) 44/ND/2021 filed under Sections 230 to 232 of the Companies Act, 2013. The prayer made by the Applicants is to dispense with convening and holding of the meetings of Shareholders and Creditors of the Transferor and Transferee Companies in connection with approval of the 'Scheme of Amalgamation', which shall take effect from the Appointed Date of 01.04.2021.

2. That during the course of hearing on 12.04.2021, it was observed by this Bench that the Applicant Companies have not filed the Affidavits in terms of Section 230(2)(a) of the Companies Act 2013, stating whether any investigation or proceeding is pending against the Applicant Companies.

3. That it was submitted by the Ld. Senior Counsel appearing for the Applicant Companies that the details of "no pending investigation and proceedings" have been disclosed in Para 20 of Part IV of the Application. The list of the pending proceedings against the Applicant Companies is provided at Annexure 20 on Page 382-383 of the Application. The averment made in Para 20 of Part IV of the Application is reproduced overleaf :

"*20. That no proceedings under Section 235 to 251 of the Companies Act, 1956 and/or under Section 206 to 229 of the Companies Act, 2013 are pending or instituted against any of the Applicant Companies. That the list of pending proceedings and litigation of Applicant Companies are annexed herewith...*"

4. It was further stated by the Ld. Senior Counsel that the Application is accompanied with an Affidavit annexed at Page 19-20 and all the contents of the Application are verified to be true and correct on Affidavit. In the light of these facts, it was submitted that there was no need of filing a separate Affidavit u/s23(2)(a) the Companies Act 2013.

5. Therefore, the issue before us for consideration is - Whether separate Affidavits from the Applicant Companies would still be required for Compliance of Section 230(2)(a) of Companies Act 2013, if an averment regarding investigation is made in the petition accompanied by a general Affidavit ?

6. To Adjudicate this issue, we feel it necessary to visit contents of Section 230(2)(a) of Companies Act 2013, which reads as below :

"230. Power to compromise or make arrangements with creditors and members.

(1).....

(2) The company or any other person, by whom an application is made under sub-section (1), **shall disclose to the Tribunal by affidavit** :

(a) all material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company and the pendency of **any** investigation or proceedings against the company;..."

7. That from the plain reading of the provisions of the Section 230(2)(a) of Companies Act 2013, it is clear that the details of ***any*** *Investigation or proceedings against the company* are necessarily required to be disclosed by the Applicant Companies ***on Affidavit***.

8. That when the Legislature has casted an obligation that a certain averment or disclosure shall be made on an Affidavit, then we are of the considered view that a mere averment in the Petition accompanied by a general Affidavit will not suffice.

9. We come across a similar situation, where the legal provision under Section 9(3)(b) of IBC, 2016 requires the Operational Creditor to *furnish an Affidavit to the effect that there is no notice given by the corporate debtor relating to a dispute of the unpaid operational debt* and there too, a mere averment in petition accompanied by a general Affidavit is not considered sufficient.

10. That in other similar cases too, this Bench has insisted on filing of Affidavit(s) under Section 230(2)(a) of the Companies Act 2013 asking the Applicant Companies to disclose the pendency of any Investigation or Proceedings against the Applicant Companies. That following the *principle of parity,* for a petition based on similar facts and prayers, different treatment cannot be given and the present Petition cannot be an exception to the same.

11. Even if we would have agreed with the submissions made by the Ld. Senior Counsel appearing for the Applicants that there is no requirement of separate Affidavit in the present case, then also we feel that the Applicant Companies have not given complete disclosure regarding ***any*** *Investigation or proceedings against the companies* in terms of Section 230(2)(a) of Companies Act 2013 Act, 2013 since the Applicants have only averred about the Proceedings *pending or instituted under Section 235 to 251 of the Companies Act, 1956 and / or under Section 206 to 229 of the Companies Act, 2013.* We are of the firm view that the word 'any' used in Section 230(2)(a) of the Companies Act, 2013 requires the Applicant Companies to not only disclose the Investigation or Proceedings pending or instituted under the Companies Act but also the Investigation or Proceedings pending or instituted under any law for the time being in force or by any Authority.

12. In the instant case we find that there is no disclosure given by the Applicant companies with regard to Investigation or Proceedings pending or

instituted under any other law other than the Companies Act, or by any other Authority.

13. Accordingly, the Applicant Companies are directed to file Affidavits in full Compliance of Section 230(2)(a) of Companies Act 2013 disclosing the Proceedings or Investigation pending or instituted against the Applicant Companies under any law or by any Authority within a fortnight from today. That the Applicant Companies are further directed to bring any proof on record, which could depict that the Investigations/Proceedings as mentioned on Page 382-383 of the Application are pending before the concerned Authorities.

14. That the Registry is directed to not to list any First Motion Petition unless a specific averment is made by the Applicants on separate Affidavit(s) in terms of Section 230(2)(a) of Companies Act, 2013 regarding disclosure of any Investigation or Proceedings pending or instituted against the Applicant Companies. Let the copy of this order be provided to the Ld. Registrar, NCLT for compliance of the aforesaid direction.

15. **The matter is accordingly de-reserved. List on 05.07.02021.**

-S/d-
(L. N. Gupta)
Member (T)

-S/d-
(Abni Ranjan Kumar Sinha)
Member (J)